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The Signal and the Noise

The Challenge and Opportunity of Communication

One of the nice things about being a central bank governor is that the markets hang on every word you say, treating every syllable, nuance and twitch of the face as a market cue. One of the stressful things about being a central bank governor is that the markets hang on every word you say, treating every syllable, nuance and twitch of the face as a market cue. That about sums up both the opportunity and challenge of central bank communication.

I believe there would be virtually no central bank governor who has not taken an ego trip on the magic of his spoken word or rued the fallout of some miscommunication. Experience helps, but is no guarantee against markets deciding that you said something different from what you believe you've said. I learnt along the way; and maybe, even the hard way. Before I write about my own experiences with communication, some broader context maybe useful.

The Power of Central Bank Communication

There are powerful examples from around the world of how central banks have exploited the power of their communication to enhance their policy effectiveness. Hours after the 9/11 terrorist attacks in the United States in 2001, the Federal Reserve put out a simple statement: 'The Federal Reserve System is open and operating. The discount window is open to meet liquidity needs.'